0452 | PAPER 2

TOPIC 02
Sources and recording of data

FULL ANSWER GUIDE | 2021-2025

21 indexed questions • 398 total marks

Independently reformatted and rewritten for study. Original examination questions are not reproduced.

CONTENTS

How to use: open the matching question in the topical bank, attempt it first, then compare with the answer guide below. Standard accounting terms and figures are retained; explanatory points are shortened and independently worded.

2.1 The double entry system of book-keeping

Question 01 | Oct/Nov 2021 Paper 21 Question 4 - 20 marks

4(a) Karishma

Dr Insurance account Cr

Date	Details	$	Date	Details	$
2020			2021		
Oct 1	Balance b/d 1700	Feb 28	Bank	300	
2021			Sep 30	Income statement	
Feb 7	Bank }	34000F	6200		
Aug 13	Bank }	3500		Balance c/d	2100
		8600			8600
2021					
Oct 1	Balance b/d 2100				

Dr Electricity account Cr

Date	Details	$	Date	Details	$
2020			2020		
Oct 14	Bank }	1800	Oct 1	Balance b/d 1800	
2021	}		2021		
Jan 24	Bank }	1800	Sep 30	Income	
May 26	Bank }	1800		statementOF 5600	
Sep 30	Balance c/d	2000			
		7400			7400
			2021		
			Oct 1	Balance b/d 2000	
Dates					

4(b) Advantages

Fixed monthly payment
Payments would be made automatically
More difficult to fall behind with payments
Cheaper than existing contract
Helps with planning expenditure

Disadvantages

Risk: lose control her payment schedule able pick choose make payments

Bank charges might increase
Tied to two-year contract
Need to consider reliability of new supplier
Possible price increase after two years

Recommendation

4(c) Karishma

Dr Rent receivable account Cr

Date	Details	$	Date	Details	$
2021			2020		
Sep 30	Income		Oct 1	Bank }	800
	statementOF	1965	2021	}	
	Balance c/d	510	Mar 2	Bank }	825
		2475	Aug 8	Bank }	850
					2475
			2021		
			Oct 1	Balance b/d 510	
Dates					

4(d) Current liabilities

END OF ANSWER

Question 02 | Feb/Mar 2024 Paper 22 Question 4 - 20 marks

4(a) Sara

Dr Inventory account Cr

Date	Details	$	Date	Details	$
2023			2023		
Jan 1	Balance b/d	5 811	Dec 31	Income statement 5	811
		5 811			5 811
Dec 31	Income statement 6	275	Balance	c/d 6 275	
		6 275			6 275
2024					
Jan 1	Balance b/d 6 275				
+ dates					

4(b) Sara

Capital account

Dr Date	Details	$	Date	Details	Cr $
2023			2023		
Dec 31	Drawings	19 260	Jan 1	Balance b/d	115 793
	Balance c/d	116 713	Dec 31	Income statement	20 180
		135 973			135 973
			2024		
			Jan 1	Balance b/dOF	116 713

4(c) Sara

Statement of financial position at 31 December 2023

	$ Cost	$ Accumulated depreciation	$ Net Book value
Non-current assets			
Premises	100 000	-	100 000
Fixtures and fittings	40 000	15 000	25 000
	140 000	15 000	125 000
Current assets			
Inventory		6 275	
Trade receivables	8 540		
Less Provision for doubtful debts	427	8 113	
Cash		350	14 738OF
			139 738
Capital and liabilities			
Capital			
Opening balance			115 793
Profit for the year			20 180
			135 973
Less drawings			19 260
			116 713
Non-current liability			
Loan			12 000
Current liabilities			
Trade payables		5 125	
Other payables		1 000	
Bank overdraft		4 900	11 025OF
			139 738

4(d) Advantages

Key point: able sell customers wider area own transport customer convenience

May increase gross profit/gross profit margin
The delivery vehicle may be used to advertise the business
Improved ability to compete with other traders

Key point: currently vehicles new vehicle uses collecting purchases

Disadvantages

Risk: bank overdraft loan difficult obtain finance buy vehicle

Must consider extra costs (fuel, insurance/depreciation/driver’s wages

Risk: increase sales gross profit needs least sufficient cover vehicle running costs Key point: vehicle limited useful life need replaced Risk: Some customers potential unwilling pay delivery charge switch suppliers

Recommendation

4(e) Revenue receipts are amounts received by a business from its usual trading activities

END OF ANSWER

2.3 Books of prime entry

Question 01 | Feb/Mar 2021 Paper 22 Question 1 - 20 marks

1(a) Shilpa

Sales journal

Date		Details	$
2021			
Jan 6		Kabir (200 - 40)	160
	20	Pari	150
	26	Yash	62
	31	Transfer to sales account	372 OF

1(b) Shilpa 11

Cash Book

2021		Disc. Alld $	Cash $	Bank $	2021		Disc. Recd $	Cash $	Bank $
Jan 1	Balance b/d		200	814	Jan 2	Rent		450	
9	Disposal				11	Dilip	50		
15	Sales		85			expenses	30		
21	Kabir 12		148	31		Balance c/d	150	818	
24	Pari 9		141						
		21	200	1298				200	1298
Feb 1	Balance b/dOF	150	818						

OFOF

+ dates

1(c) Shilpa

Dr Dilip account Cr

Date	Details	$	Date	Details	$
2021			2021		
Jan 10	Purchases returns (20-5)	15	Jan 3	Purchases 90 (120 - 30)	
11	Cash 50				
31	Balance c/d	25			
		90			90
			Feb 1	Balance b/dOF	25

1(d)

Debit note

Credit note ▯

END OF ANSWER

Question 02 | Feb/Mar 2021 Paper 22 Question 5 - 20 marks

5(a) (70 + 2) × 130 = 9360OF

5(b) Maira

Key point: Income Statement trading section year ended 31 December 2020

	$	$
Revenue		150 000
Cost of sales		
Purchases (1 400 × 70)	98 000	
Carriage inwards (1400 × 2)	2 800	
	100 800	
Less Goods taken for own use	1 440CF/OF	
	99 360	
Less Closing inventory	9 360OF from (a)	
		90 000OF
Gross profit		60 000OF (40% × revenue)

Revenue
2 × 10 800 = 21 600
8 × 12 000 = 96 000
2 × 16 200 = 32 400
150 000

5(c) Advantages

Key point: Maira all necessary balances individual ledger Key point: grows difficult prepare financial statements incomplete records

Detailed records would be available for future reference
more reliable comparisons year-on-year/with other businesses is possible
More informed decision making will be possible

Key point: government tax office require adequate records Key point: Maira wishes sell potential buyer wish see full records

Lenders/potential lenders can be provided with adequate information
Maira should be able to prepare financial statements more easily
Maira should be able to prepare financial statements more accurately

Key point: Assist location errors checking procedures control used

The possibility of fraud would be minimised

Disadvantages
Maira’s financial statements may be prepared from incomplete records

Key point: Maira busy she time book keeping

It may take Maira time to learn double-entry book-keeping

Key point: spare time Maira find better spent marketing Risk: Maira pays book keeper write up her books cost reduce profits

Recommendation

5(d)

	Cash book	Purchases journal	Purchases returns journal
Discount received from a supplier for prompt payment	✓		
Credit note received from a supplier			✓
Direct debit paid to a supplier	✓		

5(e)

	Comparability	Relevance	Reliability
Maira’s inventory valuation should be free from significant errors.			✓
Maira’s financial statements should be provided in time for her to use them when making decisions about her shop.		✓	

END OF ANSWER

Question 03 | May/June 2021 Paper 22 Question 1 - 20 marks

1(a) Leo

Petty Cash Book

Total received	Date	Details	Total paid	Travel	Office expenses	Ledger accounts
$	2021		$	$	$	$
48	Apr	1 Balance b/d				
152		Bank				
		5 Office cleaning 21 21				
		7 Train ticket 13 13				
		13 Hunter 72 72				
11		18 Taxi fare 14 14				
		25 Conrad				
			120	27	21	72
			91			
211		30 Balance c/d	211			
91	May	1 Balance b/dOF				

+ dates
+ OF totalling analysis columns

1(b)(i) Travel - general ledger

Hunter - purchases ledger

1(b)(ii) Duality

1(c) To remind Leo to pay the balance

To Also valid: Leo to check his records
To provide a summary of the transactions for the month/period

1(d) Advantages

Key point: need keep much cash premises

Less risk of theft or fraud

Benefit: face meeting pay save time

Or other relevant advantages

Disadvantages
No source document immediately available
Still have to pay amounts below $50 by other methods
May be easier / more suitable to use cheques
May Increase bank charges
Or other relevant disadvantages

Recommendation

END OF ANSWER

Question 04 | Feb/Mar 2022 Paper 22 Question 1 - 20 marks

1(a)(i) Nazmeen

General Journal

Date	Details	Debit $	Credit $
2022			
Jan 1	Motor vehicle	11 000 }	
	Bank	2 300 }	
	Petty cash	200 }	
	Bank loan		2 500
	Capital		11 000
		13 500	13 500
	Assets, liabilities and capital at this date		

1(a)(ii) Correction of errors

Purchase/disposal of non-current assets on credit
Transactions not recorded in another book of prime entry
Transfers between accounts
Writing off irrecoverable debts
Creation of/adjustment to a provision for doubtful debts
Recording depreciation
Year-end transfers to income statement

1(b)(i) Nazmeen

Petty Cash Book

Total received $	Date	Details			Total paid $	Motor expenses $	Sundry expenses $	Ledger accounts $
	2022							
200	Jan 1	Balance						
	3	Petrol	35	35				
	8	Magazines	14		14			
	17	GL Limited	60			60		
	26	Cleaning	9					
	29	Alim	38		38			
					156	44	14	98
	31	Balance c/d			44			
200					200			
44	Feb 1	Balance b/dOF						
156		BankOF						

+ dates

1(b)(ii) Easier control of/check on petty cash expenditure

There is a maximum amount which can be spent
Theft/fraud is limited to the imprest amount

1(c)

	Invoice	Credit note	Statement of account
A credit purchase	✓		✓
The balance owing by Nazmeen to a			✓ row

supplier at the end of the month		
A purchases return	□	□ row
Trade discount deducted from list price	□	□ row
Payment made to a supplier		□ row

END OF ANSWER

Question 05 | May/June 2022 Paper 21 Question 1 - 20 marks

1(a) Nakul

Purchases journal

Date		Details	$
2022			
Jan	12	Nadia (350 - 70)	280
	18	Nadia (400 - 80)	320
	29	Sophie	60
	31	Transfer to purchases account	660OF

1(b) Nakul

Purchases returns journal

Date		Details	$
2022			
Jan	14	Nadia (80 - 16)	64
	30	Sophie	
	31	Transfer to purchases returns account	73OF

1(c) Nakul

Dr Nadia account Cr

Date	Details	$	Date	Details	$
2022			2022		
Jan 2	Bank	441	Jan 1	Balance b/d	450
	Discount	9	12	Purchases }	280
14	Purchases returns	64	18	Purchases }	320
31	Balance c/d	536			
		1050			1050
			Feb 1	Balance b/dOF	536

1(d)

	Current liabilities	Non-current liabilities
Trade payables	□	
Bank overdraft	□	

1(e) Advantages

Would delay the outflow of cash/will reduce bank overdraft
May reduce bank overdraft charges/interest

Risk: Overdraft charges higher cash discount offered suppliers

May currently be paying Nadia/suppliers quicker than is necessary

Disadvantages
May lose the cash discount allowed by Nadia/suppliers
Nadia/suppliers may charge interest on late payment

Risk: Nadia suppliers stop supplying reduce they supply damage relationship Key point: better methods improving cash flow selling cash terms

for recommendation

END OF ANSWER

Question 06 | May/June 2022 Paper 21 Question 3 - 6 marks

3(a) Jules

Journal

Date	Details	Debit $	Credit $
2022			
April 30	Equipment	1900	
	YZH Limited		1900

Purchase of hairdressing equipment on credit from YZH Limited

3(b)

	Increase in profit	Decrease in profit
Heat and light	✓	
Depreciation		✓
Insurance		✓

3(c) Jules

Journal

Error number	Details	Debit $	Credit $
1	General expenses	28	
	Suspense		28
2	Isaac	36	
	Suspense		36
3	Wages	144	
	Bank		144
4	Suspense	76	
	Discount received		76
5	Commission receivable	200	
	Rent		200

3(d) Jules

Suspense account

Dr Date	Details	$	Date	Details	$ Cr
2022 April 30	Discount received	76	2022 April 30	Difference on trial balanceOF	12
				General expenses	28
				Isaac	36
		76			76

END OF ANSWER

Question 07 | May/June 2022 Paper 22 Question 1 - 20 marks

1(a) Peter 11

Cash Book

```
Date     Details              Disc   Cash     Bank     Date   Details              Disc     Cash   Bank
                              Alld                                                 Rec
2022                           $       $        $    2022                           $        $      $
 Apr 1   Balance b/d                  135      920 Apr 3 Rahat      42              798
     2   Sales                     410      8 Motor expenses             42
    18   Sales             460             20 Samir       8             392
    25   Commission                                  29 Rafael      15      285
         received                     115      30 Balance c/d                        268    255

                                      595     1445                                      65    595   1445
May 1 Balance b/d                     268      2550F
```

OFOF

+ dates

1(b)

Items to be adjusted	Prepare reconciliation statement: Added to bank statement balance	Prepare reconciliation statement: Deducted from bank statement balance	Update cash book: Debited to cash book	Update cash book: Credited to cash book
Bank charges				✓
Direct debit for rent				✓
Cheque paid to a supplier but not yet cashed		✓		
Cheque for commission received dishonoured				✓
Dividend received			✓	

1(c) Peter

Rahat account

Dr | | | | | Cr

Date	Details	$	Date	Details	$
2022			2022		
Apr 3	Bank	798	Apr 1	Balance b/d	840
3	Discount	42	15	Purchases	288
30	Balance c/d	288			
		1 128			1 128
			May 1	Balance b/dOF	288

END OF ANSWER

Question 08 | Oct/Nov 2022 Paper 21 Question 2 - 20 marks

2(a) Reduces number of entries in main cash book

Reduces the number of entries in ledger accounts

Can provide training for junior employee

2(b) Rasheed - Petty Cash Book

Total Received	Date	Details	Total Paid	Travel	Postage	Cleaning	Ledger accounts
$	2022		$	$	$	$	$
100	Sept 1	Cash					
	2	Taxi fare	12	12			
	7	Crystal	16				16
	13	Postage stamps	10				
	18	Kalpa	15				15
	25	Bus fare	5				
	29	Cleaner	28			28	
			86	17	10	28	31OF
	30	Balance c/d	14				
100			100				
14}*	Oct 1	Balance b/d					
86}OF		Cash/Bank					

* For both balance and restoration OF

2(c) Rasheed

Postages account

Dr | | | | | Cr

Date	Details	$	Date	Details	$
2022			2022		
Sep 30	Petty cash				

Purchases ledger
Crystal account

Dr | | | | | Cr

Date	Details	$	Date	Details	$
2022			2022		
Sep 7	Petty cash	16			

OR Sep 30

2(d) Rasheed

Inventory account

Dr | | | | | Cr

Date	Details	$	Date	Details	$
2022			2022		
Sep 30	Income statement	8 600	Sep 30	Balance c/d	8 600
		8 600			8 600
Oct 1	Balance b/d	8 600			

2(e) Must compare with business in same trade

Key point: Businesses different trades profit margins types assets expenses etc

Key point: Must compare approximately same size capital Key point: Size affect purchasing power type non current assets etc

Must compare with same type of business organisation

Risk: Must compare sole trader company partnership different types costs

appropriate the profit between owners

Financial statements will not contain non-monetary items

Risk: Factors goodwill location skill workforce staff morale etc disclosed

Key point: limited information available difficult obtain about businesses Key point: age non current assets average inventory future plans budgets etc available

Businesses may use different accounting policies

Key point: Different methods deprecation used affect profits value non current assets

Businesses may use different operating policies

Key point: Renting owning premises using funds loans capital selling credit cash affect

Financial years may end on different dates

Key point: One year end inventory low high affect profit calculations assets

Decision point: compare established approximately same time Risk: Longer established businesses time build up goodwill start costs

Risk: Up 3 aspects problems comparison

END OF ANSWER

Question 09 | Feb/Mar 2023 Paper 22 Question 1 - 20 marks

1(a) Saira 13

Cash Book

```
Date     Details                    Disc    Cash    Bank     Date      Details                    Disc      Cash     Bank
                                    Alld                                                          Rec

2023                                 $       $       $       2023                                  $         $        $

Jan 1    Balance b/d                        110      713       Jan 4   Jai        7               343
    2    Rent receivable                     360          7    Motor expenses             33
  13     Sales                      395        17     David        6                194
  20     Ivan     12               388        27     Cash                       150
  27     Bank             150                 29     Wages                  124
                                                         31    Balances c/d                                 103     1 169

                                      12      260     1856                                           13        260     1 856
Feb 1 Balances b/d                            103     1169
```

OFOF

+ OF both discount totals
+ dates

1(b)

Items to be adjusted	Effect on bank balance in cash book	Effect on capital
Bank charges	decrease	decrease
Credit transfer from Saira’s personal bank account	increase	increase
The cheque from Ivan was dishonoured	decrease	no effect

1(c)

User	Reason
Bank manager	to see if she will be able to repay loan/overdraft/interest
Government	to see if she will be able to pay any tax which becomes due
Trade payables	to see if she will be able to pay what she owes/consider whether to Also valid: credit terms

END OF ANSWER

Question 10 | May/June 2023 Paper 21 Question 1 - 20 marks

1(a) Shvan

Petty Cash Book

```
  Total                                                        Total        Office    Travel      Ledger
 received       Date                     Details               paid        expenses              accounts
    $                                                           $             $        $             $
               2023
          61     Mar 1     Balance b/d
         139               Bank
                      2    Giles            55                                  55
                      3    Taxi fare            21                                    21
                      6    Notepads and pens            18         18
          25          6    Mitchell
                      7    Office cleaning            30         30

                                                                   101
         225          7    Balance c/d                             225
         101     Mar 8     Balance b/dOF
```

+ dates

1(b) Shvan

Giles account

Dr | | | | | Cr

Date	Details	$	Date	Details	$
2023			2023		
Mar 2	Petty cash	55	Mar 1	Balance b/d	165
13	Bank	110	22	Purchases	144
31	Balance c/d	144			
		309			309
			Apr 1	Balance b/dOF	144

1(c)(i) Direct debit

```
Internet transfer
Telephone transfer
Credit transfer
Debit/credit card
```

1(c)(ii) Advantages of stopping using cash

```
Safer - no cash on premises/no transporting cash to/from bank
May reduce fraud
A petty cash book would not be required
```

Benefit: saves time cash handling journeys bank need physically present exchange cash

```
Bank transactions can be quicker

Disadvantages of stopping using cash
Some customers/suppliers/service providers may prefer to use cash
```

Benefit: take longer receive funds via banking system using cash quicker Key point: useful keep some cash premises emergency use small expenses

```
May incur extra bank charges
Bank reconciliation may take longer/is more complex
```

for recommendation

END OF ANSWER

Question 11 | May/June 2023 Paper 22 Question 1 - 20 marks

1(a) Omer 11

Cash Book

Date	Details	Disc.	Cash	Bank	Date	Details	Disc.	Cash	Bank
2023		$	$	$	2023		$	$	$
Apr 1	Balance b/d		120		Apr 1	Balance b/d			477
3	Capital			1 000	7	Alexander			360
10	Sales			695	15	Motor expenses		68	
23	Esme	16		384	16	Rent payable			400
					27	Alexander	17		323
					30	Balance c/d		52	519
		16*	120	2079			17*	120	2079
May 1	Balance b/d		52	519					

OFOF

```
*both discount totals
+ dates
```

1(b) Omer

Alexander account

Dr | | | | | Cr

Date	Details	$	Date	Details	$
2023			2023		
Apr 7	Bank	360	Apr 1	Balance b/d	360
27	Bank }	323	12	Purchases }	340
	Discount received }	17	28	Purchases }	235
30	Balance c/d	235			
		935			935
			May 1	Balance b/dOF	235

1(c) Option 1 - buy from Alexander only

```
Advantages
A offers cash discount but T does not
A offers 5% cash discount
```

Benefit: cash discount higher trade

```
Maintain good relationship with A
Familiar with A's quality/reliability
(Max 3)

Disadvantages
T offers trade discount but A does not
```

May lose cash discount by not paying on time
Depending on one supplier only
A has no incentive to offer more competitive terms
(Max 1)

Option 2 - buy from both Alexander and Tahir

Advantages
T offers trade discount but A does not

Key point: Trade discount deducted invoice depend payment made

Cost of buying goods from T is reduced
Not dependent on one supplier

Key point: offer competitive terms compete supplier

(Max 3)

Disadvantages
A offers cash discount but T does not

Risk: trade discount lower cash

May damage relationship with A
Not familiar with T's quality/reliability
(Max 1)

Recommendation

END OF ANSWER

Question 12 | Oct/Nov 2023 Paper 21 Question 4 - 20 marks

4(a) Asia 11

Journal

Error number	Details	Debit $	Credit $
1	Jacques	112	
	Purchases		112
2	Suspense	300	
	Wages		300
3	Suspense	75	
	Savanah		75
4	Sales returns	396	
	Purchases returns	198	
	Suspense		594
5	Sophie	54	
	Suspense		54

4(b) Asia

Dr Suspense account Cr

Date	Details	$	Date	Details	$
2023			2023		
Aug 31	Difference on trial balance	273	Aug 31	Sales returns }	396
	Wages	300		Purchases returns }	198
	Savanah	75		Sophie	54
		648			648

4(c)

Error number	Error	Gross profit +	Gross profit -	Profit for the year +	Profit for the year -	No effect
1	A credit purchase, $112, from Jacques, had been debited twice to the purchases account.		YES		YES	
2	The wages account had been overcast by $300.				YES	
3	Cash received, $75 from Savanah, a trade receivable, had only been entered in the cash book.					YES
4	The total of the sales returns journal for August 2023, $198, had been credited to both the sales returns account and the purchases returns account.	YES		YES		
5	A payment to Sophie, $93, had been recorded as $39 in Sophie's account.					YES

END OF ANSWER

Question 13 | Oct/Nov 2023 Paper 22 Question 1 - 20 marks

1(a) Seok

Sales journal

Date	Details	$
2023		
Aug 3	Naomi (410 - 41)	369
5	Bwana	89}
19	Bwana	180}
22	Naomi (230 - 23)	207
31	Transfer to sales account	845OF

1(b) Seok

Sales returns journal

Date	Details	$
2023		
Aug10	Naomi (20 - 2)	18
27	Bwana	19
31	Transfer to sales returns account	37OF

1(c) Seok

Dr Naomi account Cr

Date	Details	$	Date	Details	$
2023			2023		
Aug 1	Balance b/d	450	Aug 10	Sales returns OF	18
3	Sales }	369	11	Bank	423
22	Sales }OF	207		Discount allowed	27
			31	Balance c/d	558
		1026			1026
Sept 1	Balance b/dOF	558			

1(d) Seok

Dr Sales ledger control account Cr

Date	Details	$	Date	Details	$
2023			2023		
Aug 1	Balance b/d	991	Aug 31	Sales returnsOF	37
31	SalesOF	845		Bank (423 + 400)	823
				Discount allowed	27
				Irrecoverable debts	155
				Balance c/d	794
		1836			1836
Sept 1	Balance b/dOF	794			

END OF ANSWER

Question 14 | Oct/Nov 2023 Paper 22 Question 3 - 20 marks

3(a) Lionel

Income Statement for the year ended 30 June 2023

	$	$
Revenue		90 000
Cost of sales		
Purchases	67 175OF	
Less Purchases returns	3 000	
	64 175OF	
Less Closing inventory	4 175	60 000
Gross profit		30 000
Less Expenses		
Wages (8 060 + 2 600)	10 660	
Motor expenses (4 992 × 2/3)	3 328	
General expenses	1 140)	
Rent and insurance	5 585)	
Depreciation of motor vehicles/van (25% × 8 000)	2 000	22 713
Profit for the year		7 287OF

3(b) Lionel

Dr Capital account Cr

Date	Details	$	Date	Details	$
2023			2022		
June 30	Drawings		July 1	Bank	15 000

(12 000 + 1 664)	13 664	2023				
Balance c/d		8 623	June 30	Profit for the yearOF	7 287	
		22 287				22 287
			July 1	Balance b/dOF	8 623	

3(c) Full details are available about the assets, liabilities, revenues and expenses of the business

The preparation of financial statements is relatively straightforward

Key point: profit loss year likely reliable accurate financial statements

reliable and accurate
More informed decision-making is possible

Key point: greater degree control activities exercised

The possibility of fraud is reduced

Key point: Comparisons results previous years businesses

Detailed records are available for reference purposes

Key point: Information required bank lender readily available

3(d) Allowing Trade discount

May encourage customers to purchase regularly / place repeat orders

Risk: successful increase revenue gross profit unsuccessful decrease profit Key point: Need record customers qualify discount invoices

One-off customers may feel they are being overcharged

Key point: Some credit customers pay quickly encourage prompt payment

Less money will be received
Will lower profit / net profit for the year
3% may not be enough to encourage early payment
May reduce risk of irrecoverable debts

Recommendation

END OF ANSWER

Question 15 | Feb/Mar 2024 Paper 22 Question 1 - 20 marks

1(a) Gurjit

Cash Book

Date	Details	Disc Alld	Cash	Bank	Date	Details	Disc Rec	Cash	Bank
2024		$	$	$	2024		$	$	$
Jan 1	Balance b/d		175	1 490	Jan 7	Sandy	29		551
4	Sales		640		13	Wages		120	
19	Uma	6		415	21	Viraj	6		194
25	Bank		100		25	Cash			100
					31	Balance c/d		155	1 700
		6	915	1 905			35	275	2 545
Feb 1	Balance b/d	-	275 2 545						
			155 1 7000F						

OFOF

1(b)

	Updating cash book	Bank reconciliation statement
Bank error		YES
Cheque from Uma dishonoured	YES	
Bank charges	YES	

1(c) For:

The business already handles most payments through its bank.

Risk: Lower risk cash theft reduced fraud exposure better security using bank

Cheques may be dishonoured/unpaid and reduced risk of stale/unpresented cheques
Bank transfers are faster than cheque payments
Bank charges may reduce if there are fewer cheques

Benefit: saves time visit bank pay cheques

Against:

Risk: Customers suppliers prefer use bank transfers deal cash cheques lose revenue

some customers may not use bank accounts
A charge may be incurred for electronic payments
There may be system or card-terminal failures may interrupt payments
online-banking fraud remains a risk
A petty cash book/petty cashier would be required

Recommendation

1(d)(i) Bank overdraft - when payments from the bank exceed deposits resulting in an amount that is owed to the bank

1(d)(ii) Bank charges - A charge taken from the business bank account to cover the bank’s costs of running the account

END OF ANSWER

Question 16 | Feb/Mar 2024 Paper 22 Question 5 - 20 marks

5(a) Sunita

Journal

Error number	Details	Debit $	Credit $
1	Purchases	3 524	
	Sales returns	3 524	
	Suspense		7 048
	Correction of error of posting sales returns journal for November 2023		

5(b) Sunita

Dr Suspense account Cr

Date	Details	$	Date	Details	$
2023			2023		
Dec 31	Sales	19 415	Dec 31	Trial balance differenceOF	17 085
	M. Patel }	129		Purchases }	3 524
	P. Mattel }	129		Sales returns }	3 524
	Capital	5 000		Purchases	90
				Rent expense	450
		24 673			24 673

5(c)(i) $

Original gross profit per draft financial statements	66 223
Error 1 ($3524 □ 2)	(7 048)
Error 2	(90)
Error 3	19 415
Gross profit for the year after correcting errors	78 500OF

5(c)(ii) $

Original profit for the year per draft financial statements	28 750
Adjustment from 5(c)(i) (78 500 - 66 223)	12 277OF
Error 6	(450)
Profit for the year after correcting errors	40 577OF

5(d) 78 500 100

Gross profit = OF □ whole formula = $196 250OF
1 40

END OF ANSWER

Question 17 | May/June 2024 Paper 21 Question 1 - 20 marks

1(a) Addo

Sales journal

Date	Details	$
2024		
Apr 2	Ava (150 - 9)	141
12	Nuru	165
21	Mahia (480 - 24)	456
30	Transfer to sales account	762OF

1(b) Addo

Journal

Date	Details	Debit $	Credit $
2024			
April 30	Irrecoverable debts	215	
	Rachel		215
	Amount due from Rachel written off as irrecoverable		

1(c)(i) Total amount received = $689 +$627 + $760 = $2 076

1(c)(ii) Total cash discount = $40 + $33 = $73OF

1(d) Addo

Dr Sales ledger control account Cr

Date	Details	$	Date	Details	$
2024			2024		
April 1	Balance b/d	3 658	April 30	Sales returns	30
30	SalesOF	762		BankOF	2 076
				Discount allowedOF	73
				Irrecoverable debts	215
				Balance c/d	2 026
		4 420			4 420
May 1	Balance b/dOF	2 026			

1(e) Advantages

Benefit: Increased cash discount encourage new customers existing buy increase sales

More customers may pay early because of extra discount/strengthen liquidity
Irrecoverable debts may be reduced
Increased credit check indicates ability to pay

Disadvantages
More credit checks would take more time/cost more money
Less money coming in from sales
No guarantee that customers will pay early

Risk: profit sale profit year reduced expenses increased give cash discount

No guarantee that there will not be any irrecoverable debts

Recommendation

END OF ANSWER

Question 18 | May/June 2024 Paper 21 Question 2 - 20 marks

2(a) Paul 11

Journal

Error number	Details	Debit $	Credit $
1	Purchases	140	
	Office equipment		140
2	Bank	18	
	Discount received		18
3	Carriage inwards	82	
	Carriage outwards	82	
	Suspense		164
4	Insurance	750	
	Bank		750
5	Bank	90	
	Suspense		90

2(b) $

	$
Original cash at bank balance per draft financial statements	3 290
Error 2	18
Error 4	(750)
Error 5	90
Bank balance after correcting errors	2 648OF

2(c) $

	$
Original profit for the year per draft financial statements	9 268
Error 1	(140)
Error 2	18
Error 3 (82 □ 2)	(164)
Error 4	(750)
Profit for the year after correcting errors	8 232OF

END OF ANSWER

Question 19 | May/June 2024 Paper 23 Question 1 - 12 marks

1(a) ($21 +$47 + $44) - $15 = $97OF

1(b)(i) cash book

sales journal
sales returns journal
purchases journal
purchases returns journal
journal / general journal

1(b)(ii) Useful for preparing control accounts

Assist in collating and summarising accounting information
Remove detail from the ledgers
Bookkeeping can be divided among several people

1(c)(i) Depreciation for the year ended 30 April 2022 12 000 25% 3 000 }

Depreciation for the year ended 30 April 2023 (12 000 - 3 000) 9 000 25% 2 250 }
Accumulated depreciation at 30 April 2024 5 2500F

1(c)(ii) Lottie

Dr Disposal of motor vehicle account Cr

Date	Details	$	Date	Details	$
2024			2024		
Apr 30	Motor vehicles	12 000	Apr 30	Provision for depreciationOF	5 250
				Y Limited	6 000
				Income statementOF	750
		12 000			12 000

1(d)

Item	Valuation per unit $	Number of items	Total valuation $
A	(14 + 1 =) 15	60	900
B	17	85	1 445
C	22	30	660
			3 005OF

1(e) Lottie

Dr Insurance account Cr

Date	Details	$	Date	Details	$
2023			2024		
May 1	Balance b/d }	60	Apr 30	Income statement	360
Aug 1	Bank }	360		Balance c/d	60
		420			420
2024					
May 1	Balance b/dOF	60			

Dates

END OF ANSWER